Course Outline Template

Indian Institute of Management Calcutta

Programme :…MBA……

Name of the Course: …**Development and Management of Real Estate**……

Core / Elective …Elective…… Cap (for Elective*)……60…….
* Cap is not applicable if the course is taught by a Visiting Faculty only.

Credit: …3….

Academic Year & Term: …2026-27 **Term VI** ……

Course Coordinator: …….

Email: IIMC id:

Instructor: …Rima Mondal…….
(Sessions 1 – 20; 1 Section)

Affiliation: ……..

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Introduction to Course /Course Description

The course will provide a basic understanding of the theoretical and practical functioning of urban real estate markets. The course sensitize the participants about various facets of real estate development and its embeddedness within the region and the city. Real estate as bundle of rights can be utilized to varied degree in cities with different urban structure. The course provides a broad understanding of the spatial structure of cities, land use controls, zoning regulations and distribution of use activities. The course also provides hands on exercises where the participants can apply the aforementioned concepts for designing of cities. Interlinkages between real estate as space and asset markets will be developed. Such interlinkages have led to financialization of spaces and emergence of real estate as a speculative asset. Role of various real estate instruments like transferable development rights, accommodation reservation etc. in financialization will be explored. Changes in the urban form are observed especially in the core city areas due to financialization. The course will equip the real estate developers to understand and deal with such challenges. Land being highly regulated by the government; an understanding of the policy environment will equip the managers to make informed investment decisions involving real estate.

Course Objective and Key-takeaways from the course

Objectives:

1) To provide an understanding of the nature of real estate and real estate properties
2) To provide an understanding of the spatial structure of cities and the government regulations governing the city

3) To provide an understanding of the outcomes of investing in different types of real estate properties like residential, commercial, office spaces etc.

Programme Level Learning Goals (7)

*Please map your course with Programme Level Goals **. Please list the learning goals along with specific objectives that are relevant for your course. The broad learning goals for the IIMC's MBA are listed below; choose the goal/s that are relevant for your course. In other words, even if you don't explicitly "teach" the topics listed below, it is likely that one or more of them are inherently addressed in your course. For example, if you encourage class participation or have presentations, the goal of "Ability to Articulate" would be relevant; if you cover global issues, the goal of "Acquiring Global perspective' would be relevant; if you require case analysis and case reports (be it teams, or individual students), the goal of "critical thinking& problem solving'' would be relevant; if you have any team-based assignment/s, the goal of " leadership qualities " would be relevant; and if ethics is covered in any form in the class, the goal of "acquiring ethical values " would be relevant. Mapping of course with Goals is a process of combining inputs & assessment.*

Learning Goals

1. **Possess state-of-the-art knowledge of theory and practice in all functional fields of management and the ability to think critically, and apply them to diagnose and find solutions to organisational problems, even in unfamiliar or uncertain situations**

Learning Objectives
Our students would be able to: a. Attain theoretical and practical understanding of the functions and processes involved in managing an organization b. Develop critical thinking ability through analytical treatment of important contemporary problems and issues c. Acquire the ability to design approaches and use relevant models and tools to analyse situations and solve practical business problems d. Acquire the ability to persuasively recommend managerial solutions issuing from the process of decision analysis applied on managerial situation/s e. Acquire the ability to present a structured analysis of managerial situation/s using various strands of interpretations

2. **Develop and apply ethical values to analyse and solve organisational problems**

Learning Objectives
Our students would be able to: a. Understand the realm of ethics (morality, values, ethos) and its importance to society b. Understand the issues of ethical importance specific to the domain of business c. Understand the role of manager/leader as an ethical individual and as a professional d. Understand the need and importance of institutionalizing Ethics within the organization e. Develop an understanding of corporation's duty to all the stakeholders f. Acquire the ability to appreciate the necessity of ethical practices for sustainable growth and profitability

3. **Develop a global perspective that is built upon knowledge of economic, technological, regulatory and political forces that are shaping a new international order in the 21st century**

Learning Objectives
Our students would be able to: a. Familiarize with global factors/phenomenon affecting the business scenario b. Acquire the ability to understand and comprehend issues and practices prevalent in the international arena c. Develop competence in analysing changes in international and domestic environment d. Respond to such changes through appropriate organizational decisions

4. **Develop their capacity to articulate their thinking and ideas through verbal and written communications, at a professional (manager/consultant) level and to deliver the same**

Learning Objectives
Our students would be able to: a. Acquire the ability to organize the thought process b. Demonstrate understanding of main points c. Acquire the ability to articulate the findings in a coherent and structured format to build a managerial case analysis d. Acquire the ability to customize messages/ solutions for diverse managerial situations e. Acquire the ability to deliver a professional quality formal presentation by exhibiting clarity and appropriate pace, coherent structure, credibility, effective use of visual aids, appropriate body language

5. **Be able to appreciate the dynamics of Information Technology acquisition and absorption by present day business organizations and develop ability to use modern IT enabled decision support tools for improved understanding of business**

Learning Objectives
Our students would be able to: a. Acquire the ability to learn various IT-enabled analytical tools, techniques and methods for solving problems b. Acquire familiarity of methods for comparing different state-of-the-art computing platforms c. Acquire the ability to use appropriate analytical techniques in a case setting to identify possibilities of deploying Information Technology for competitive advantage d. Acquire competence in use of IT tools in modelling managerial decision-making situations

6. **Acquire capacity to apply their professional knowledge and skills to diagnose and resolve business problems in actual organizational settings**

Learning Objectives
Our students would be able to: a. Acquire the ability to identify organizational problems in both real-life settings and through simulated situations b. Acquire the ability to interpret and apply knowledge of concepts c. Acquire the ability to design appropriate responses to solve identified problems by using appropriate tools, techniques & framework taught in courses d. Acquire the ability to apply structured analytical thinking to solve an organizational problem

7. **Acquire the leadership qualities and the competence needed for leading organizational change**

Learning Objectives
Our students would be able to: a. Understand the theories of leadership b. Understand the theories of organizational change c. Demonstrate understanding of complex human issues arising from the implementation of change d. Understand individuals' and groups' behaviour and motivation

	Goal 1	Goal 2	Goal 3	Goal 4	Goal 5	Goal 6	Goal 7
	Critical Thinking a, b, c, d, e	Acquiring Ethical Values a, b, c, d, e, f	Acquiring Global Perspective a, b, c, d,	Ability to Articulate a, b, c, d, e	Technological Competencies a, b, c, d,	Problem Solving a, b, c, d,	Leadership Qualities a, b, c, d,
RE	c,d,e	d,e	a	a,b,c		a,b,c	

International Components in your course (if any)

Pre-requisites
None

Required Text Book(s)
None

Recommended Text Book(s)
Geltner David, M., & Miller Norman, G. (2007). Commercial Real Estate: analysis and investment. *The Third Edition. Thomson South-Western*.

Course Pack Distribution to students

Course material will be issued from the Programme office

Technology enabled learning component for your course
(You may include if required)

Session Plan

S No.	Topic	Intended learning outcome	References and cases
1	**What is Real Estate?** • Real Estate as bundle of rights • Police powers pertaining to zoning regulations and development control norms • Externalities- NIMBY and YIMBY	The student should understand the concept of real estate as a bundle of rights. Contradictory outcomes can result when the rights are exercised simultaneously by the owners of real estate. The students will be appreciate these challenges while undertaking real estate development projects.	*Case:* Cape Wind: Offshore Wind Energy in the USA By: Richard H.K. Vietor *Reading:* Note on Legal Concepts for Real Property By: Lynne B. Sagalyn
2	**Macro view to real estate** • Why cities exist? • Embeddedness of real estate in regional and urban economy • Central Place Theory and Urban hierarchy • Bid rent theory	The students should understand embeddedness of real estate in the macro environment of the region and the city. It will help them to understand social, economic and institutional functions that are performed by real estate under different land use categories. The students will also understand the concepts of economic returns to real estate at different locations within the cities.	*Reading:* Puga, D. (2010). The magnitude and causes of agglomeration economies. *Journal of regional science*, *50*(1), 203-219. *Readings:* RE, Chapter-3 and 4
3	**Residential/ Commercial development** • Real estate choices in mono/ polycentric cities • Effect of land use boundaries • Effect of rent growth expectations	The students will appreciate the theoretical underpinnings of mono and polycentric cities. The students will explore the trade-offs while selecting the uses they can assign to real estate projects across different type of cities. The role of uncertainty in determining future uses will be explored.	*Case:* Exporting Liveability: Investing in New Urban Centers by John D. Macomber and Essie Alamsyah *Reading:* RE, Chapter-5

4	**Governance of real estate** • Models of urban governance • Real estate development under different models of urban governance	The students will understand how different actors in the socio-political environment come together to facilitate governance of real estate. The students will appreciate how nation-state factors play an important role in shaping urban governance and shaping the urban policy outcomes.	*Reading:* Pierre, J. (1999). Models of urban governance: The institutional dimension of urban politics. *Urban affairs review*, 34(3), 372-396.
5	**Integrating city governance in real estate development** • Application of various urban governance models for real estate development • Integration of governance concepts with equitable development goals	The students will apply the concepts of urban governance for real estate development to attain a more equitable society	*Case:* Towards a More Equitable, Innovative and Participatory Urban Society. By: Ana Isabel Duch, Joan E. Ricart, Pascual Berrone
6	**Zoning- Rationale of zoning and development control norms** • Rationale for existence of zoning regulations over time • Understanding whether zoning is welfare enhancing • Why landowners demand zoning?	The students will understand the rationale for existence and persistence of zoning regulations and development control norms over time. The session will delve into topics related to the role of government in optimal allocation of land uses via zoning and citizens' demand for zoning	*Reading:* Fischel, W. A. (1978). A property rights approach to municipal zoning. *Land Economics, 54(1), 64-81* *Case:* Portland's Urban Growth Boundary and Housing Prices (A): The Debate By: Molly Howard, Jose Gomez-Ibanez
7	**Application of bundle of rights, rationale for land use and zoning regulations** • Understanding land use distribution in a site • Application of zoning regulations and development control norms • Relationship between bundle of rights and development control regulations	The students will be applying the concepts of zoning regulations, development control regulations and bundle of rights while designing the site plan for the New Songdo City. The students will get a hands on experience in preparing conceptual drawings and exploring potential of real estate development in a site.	*Case:* New Songdo City By: Arthur I Segel; Brandon Blaser; Gerardo Garza; Albert Kim; John Richard; Andrew M. Murphy *Reading:* Zoning: What it is, How it Works, and Categories in Real Estate
8	**Real Estate: Space and Asset Market** • Space markets- immobility of real estate • Asset market-capital markets of real estate • Pricing of real estate • Four-Quadrant Model	The students should appreciate different markets of real estate, namely, asset and space markets. The students will be able to understand the interlinkages between the two real estate markets using Four-Quadrant model. Implications of emergence of real estate as investment goods will also be explored.	*Case:* Sino-Ocean Land: Responding to Change By: Nicolas P. Retsinas, Jeffrey Hu, Runjiao Xu *Reading:* Note on Real Estate Investments By: Stephen R. Foerster, Marc Folch *Readings:* RE, Chapter 1 and 2

9	**Financing real estate** • Risks and opportunities of investing in real estate • Real estate potential of peri-urban areas	The students will understand the risks and opportunities of investing in real estate. They will understand the trade-offs of selling, developing or holding vacant land parcels.	*Case:* Cresud S.A., Farmer or Real Estate Developer? By: Ray A. Goldberg, Arthur I Segel, Gustavo A. Herrero, Andrew Terris
10	**Value capture mechanism in real estate** • Impact of upzoning and downzoning on real estate development • Methods to capture value from real estate	The students will understand how public sector can harness its authority to control land uses and secure valuable public benefits from real estate developments via upzoning and downzoning.	*Case:* The Olmos Project: Value Creation and Value Capture By: John D. Macomber, Fernanda Miguel, Laura Urdapilleta, Valeria Moy
11	**Financialization of Real Estate** • Instruments of real estate development and its reorientation- Transferable Development Rights, Accommodation Reservations, Planning Notes • Real estate as a speculative asset	The students should understand the renewed role of real estate as a speculative financial asset. Such functions of real estate will be explored via different real estate instruments like Transferable Development Rights, Accommodation Reservation etc. The students will be able to understand application of such instruments for financialization of real estate.	*Case:* Dharavi: Developing Asia's Largest Slum (A) By: Lakshmi Iyer; John D. Macomber; Namrata Arora *Reading:* Linkous, E. R. (2016). Transfer of development rights in theory and practice: The restructuring of TDR to incentivize development. *Land Use Policy*, *51*, 162-171.
12	**Changing role of real estate developers** • Emergence of developers as key actors in real estate development • Change in urban form due to interaction of developers with development authorities	The students will understand how real estate developers reorient the use of sticks in the bundle of rights for extracting rents after collaborating with the law makers and government officials	*Reading:* Leffers, D. (2018). Real estate developers' influence of land use legislation in the Toronto region: An institutionalist investigation of developers, land conflict and property law. *Urban Studies,* 55(14), 3059-3075
13	**Financialization of Transferable Development Rights** • Institutionalized rent gap model • Gentrification as an outcome of transferable development rights	The students will understand that gentrification is an outcome of monetary function performed by real estate instruments like transferable development rights. The students will also develop an understanding of the institutionalized rent gap model explaining financialization of TDRs.	*Reading:* Yang, D. Y. R., & Chang, J. C. (2018). Financialising space through transferable development rights: Urban renewal, Taipei style. *Urban Studies*, 55(9), 1943-1966.

14	**Unlocking the potential of real estate in core city** • Inner city investment opportunities • Techniques of inner-city development- plot reconstitution, land pooling, land readjustment • Financing mechanisms- community revitalization levy, Tax increment financing	The students should understand the potential and challenges of real estate development in the core city. The students will also explore various techniques for inner city development like Land Pooling, Readjustment etc. The students will appreciate the process and investment opportunities of brownfield development.	*Case:* Canyon Johnson Urban Fund By: Felix Oberholzer-Gee, Alexa Arena *Readings:* RE, Chapters 8, 10
15	**Informal property rights** • Why informal property rights continue to exist along with formal real estate markets? • Role of reputation in real estate markets	The students will understand the pre-requisites for existence and persistence of informal property rights. Students will appreciate the role of reputation as a self-enforcing mechanism in property markets. They will also appreciate the embeddedness of economic and social factors in maintaining a parallel informal market for real estate.	*Reading:* Zhang, M., & He, S. (2020). Informal property rights as relational and functional: Unravelling the relational contract in China's informal housing market. *International Journal of Urban and Regional Research*, 44(6), 967-988
16	**Ownership of Real Estate properties** • Investment Value and Market Value • Income-Producing Properties • Leasehold vs. Freehold	The students should understand the ownership structures that can be explored by real estate developers while managing the properties. The potential costs and benefits of freehold and leasehold systems will be explored from the lens of investment vis-à-vis market value of real estate.	*Case:* Airbnb: Balancing Business, Housing, and Public Safety. By: Neha Mittal, Sunil Wattal *Reading:* RE, Chapter 12
17	**Deeds and Information asymmetry in real estate** • Different deeds in real estate • Challenges of Indian land market • Informal property market	The students should understand different types deeds required for undertaking real estate transactions. The students will also be sensitized about the information asymmetry issues in the real estate market and subsequent emergence of informal property market.	*Case:* The Suraj Lamp Case: Real Estate Markets By Akhileshwar Pathak
18	**Real Estate Investment Trusts (REIT)** • Characteristics of REITs • Valuation • Performance	The students will be sensitized about the characteristics of real estate investment trusts. Interlinkages between the functions of such trusts and real estate as a speculative asset will be explored.	*Reading:* Real-Estate Investment Trusts By: C. Ray Smith, Randall Smith, Henley Green *Reading:* RE, Chapter 23

19	**Reallocation of real estate potential from core city** • Innovative government policies to reallocate real estate potential • Institutional response to such policies	The students will understand innovative policies undertaken by development authorities to increase supply of real estate in peri-urban areas as a means for sustainable development	*Reading:* Shi, C., & Tang, B. S. (2020). Institutional change and diversity in the transfer of land development rights in China: The case of Chengdu. *Urban Studies*, 57(3), 473-489
20	Project presentations		

** Faculty should endeavour to provide as much detail on session-wise topics / readings in the suggested format.

Evaluation Components

✓ Components	✓ Weightage
Class Participation	**10 %**
Assignments	**40 %**
Project presentation	**15 %**
End-term exam	**35%**

Online Course Management (Moodle)/course web

This outline may be filled after reading the MBA Instructors Manual